

Aeroplan Miles Payout

Ask

- 23 Aeromortgage clients will remain on Eureka by the end of this year (see Appendix 1 for projections)
- Technology would like to decommission the Aeroplan miles payment system Eureka on the basis of:
Running Cost + System Failure Risk (opportunity cost) > NPV of Paying Out Total Points Obligated to Clients.
- Eureka only tracks Aero points for CIBC Aeromortgages and Cards has their own interface with Aimia.
- Propose a one-time AeroPlan points payout - PBPT will project the number of points the clients would have earned for the remainder of their term. Clients will be paid out in advance as a one-time lump sum payment.
- Assumption - the mortgages will remain active until the end of their existing term, at existing interest rates, and will remain in good standing

Cost Coverage Requirement

RESL

1. Project Delivery Contractor Costs
2. Business Costs – Point Being Paid Out
3. Direct Mail
4. RO support
5. Forms Management (if legal/compliance believe update should be done)

Technology

1. Decommissioning Eureka

Cost Breakdown (RESL)

- 1 Aeroplan point for every dollar of interest paid
- 1 Aeroplan point cost CIBC \$0.01

Therefore,

RESL's Cost to Payout Points: ~ \$3,346 – Appendix 1

VS

Total Cost of \$160,000 per year saved by decommissioning Eureka (To The Bank as a Whole)

Implications

1. Partnership with Aimia

Solution (RESL)

- Eureka & Excalibur teams will calculate the total number of points to be paid out for each mortgage. One point will be awarded for every dollar of interest the client is projected to pay for the remainder of their term
- RO users will manually input the payout balance into Eureka for each mortgage. RO will also post message on Excalibur advising of the payout for awareness
- Letters will be generated, printed, and mailed out by RO. Client and account data required for mail merge will be provided by Excalibur team
- PBPT will decommission Eureka and related components

Appendix 1

Projected AeroMortgage Clients

Year`	Count of AeroMortgage Clients
2016	424
2017	332
2018	163
2019	37
2020	22
2021	1
2023	1
Grand Total	980

RESL's Cost of Payout Points

Item	Description of Activity	Approx. cost
Points purchase (1 time)	193,000 outstanding points at \$0.01 per mile	\$1,930.00
Letter translation	Approximate	\$150.00
RO	Estimated total accounts: 23 Estimated total letters: 85 Points payouts Excalibur tasks • Suppress points functionality • Add note 10 hours at \$22 per hour (Level3)	\$220.00
Mailing Costs	\$0.84/each + tax (assuming Canadian addresses).	\$81.00
Contingency	50%	\$965.00
Total		\$3,346.00

Appendix 1

Effort Breakdown

System/Team	Effort/Changes	
BA/BSA	1. BRD effort 2. Archiving BSA documentation	
Eureka	1. Support 2. Decommission StreetPerfect annual license	
Excalibur	1. Decommission feed to Eureka 2. Provide data for mail merge 3. Support	
QC	1. Validate Excalibur output for points payout and account/client details 2. Excalibur light regression	
TO	Decommission the following components: 1. DNS entries 2. Web server instances - sunone 6.1 3. Weblogic instances - 10.3 4. SiteMinder policies 5. Oracle DB instance (Primary and Report DB) 6. Active Directory application groups 7. Autosys jobs 8. FeedHub accounts 9. Infomatica accounts 10. Cognos Jobs	
RO/Business	1. One time Points Purchase 2. Entry of Points Payout into Eureka 3. Letter Translation 4. Letter Generation (400 letters) 5. Payout message on Excalibur 6. Mailing costs	

Implications

1. PD/Forms need to get involved.